THE BRICS, BUILDING CAPABILITIES FOR INFLUENCE

TOGETHER, THE FIVE BRICS (Brazil, Russia, India, China, and South Africa) are demanding a larger voice and a more substantial role in shaping the evolution of the international political economy and global governance structures, in particular by diminishing American dominance and increasing their own autonomy. But do they—especially China—have sufficient capabilities to exert their will, to cooperate on terms that advance their interests, and to resist and sustain a possible backlash? Is their individual and collective commitment to pursue greater voice and influence inside the existing global order and in the parallel institutions that they create backed up by credible strength to achieve their objectives?

A diffusion of international productive capabilities that change the rankings of national economies potentially offers rising states opportunities for gaining more influence in the international arena. More than any other BRICS state, China has emerged as the principal global competitor to the United States, nearly four decades after Deng Xiaoping initiated the strategy of reforming China's moribund economic system and "opening up" the economy to the outside world. To the extent that the BRICS work collectively to have a larger impact, their power and influence are amplified if they tap into Chinese capabilities. As their relative capabilities have grown since 2006, so have the ambitions of the BRICS to address systemic and governance issues in the global economy. Significantly, the BRICS have chosen to rely mainly on economic and financial capabilities in their collective financial statecraft, rather than on military power. Nonetheless, defense spending is also increasing and is not irrelevant as a backstop to collective financial statecraft.

Scholars and policy analysts acknowledge that international power has been diffusing, but they disagree on how it should be measured and its implications for world politics. Debates about measuring power shifts center on the persistence or decline of American primacy relative to potential challengers, notably China. One perspective views "the ascent of new great powers" as "the strongest evidence of multipolarization" in world politics.[1] In contrast, many other international relations specialists emphasize the durability of American hegemony—even unipolarity—in dynamic terms.[2] In this view, "China's rise to an emerging potential superpower" does not change the fact that "China is rising, but . . . is not catching up [to the United States]."[3] According to Stephen Brooks and William Wohlforth, even if China's economy grows to "twice the size of the United States' . . . and possess[es] a comparable scientific-technological capacity, . . . as long as Beijing chooses not to use those resources to develop a superpower's military capability, the world will remain unipolar."[4]

Thus, if China and the BRICS writ large lack the sufficient material resources or political will to compete for position and status as a rival pole (or for dominance), then the structural power differentials that still exist in unipolarity will discourage radical challenges to the existing order. Predicting that a rising power, or even the average great power, will lack political will in the future seems a leap of faith, however. Meanwhile, an important third view highlights a different type of opportunity for rising states when power is diffusing: emerging challengers may opt for soft forms of resistance and limited or regional challenges to the norms, rules, and pecking order that define the incumbent order.[5] Importantly, China and the BRICS do not need to equal the capabilities of the United States and the West to threaten the status quo, use instruments of statecraft coercively, or gain influence.[6] Thus, while prudence dictates that scholars avoid the trap of invoking selective indicators to prematurely predict U.S. decline, it is also worthwhile to recall George Orwell's cautionary observation: "Whoever is winning at the moment will always seem to be invincible."

Although this chapter does not find evidence that the BRICS currently possess material capabilities that would challenge the structural dominance of the United States, it does identify sources of support for this third view. It also sheds light on underexamined dimensions of material power, including how the BRICS can build the capability to diversify international relations in ways that increase their autonomy and weaken U.S. influence while potentially increasing those of China and the other BRICS. The investigation focuses not only on the diffusion of economic power to new or resurgent regional powers, but also on the extent to which power is shifting in the distribution of monetary and financial capabilities. This is an arena in which the dominance of the U.S. dollar, U.S. support for open markets, and commanding multinational corporations has long afforded Washington "exorbitant privilege,"[7] while assuring a key pillar of U.S. preponderance in the international system. Yet China and other rising non-Western powers are not only rising economically, they also have become large net creditors and potential drivers of financial globalization.[8]